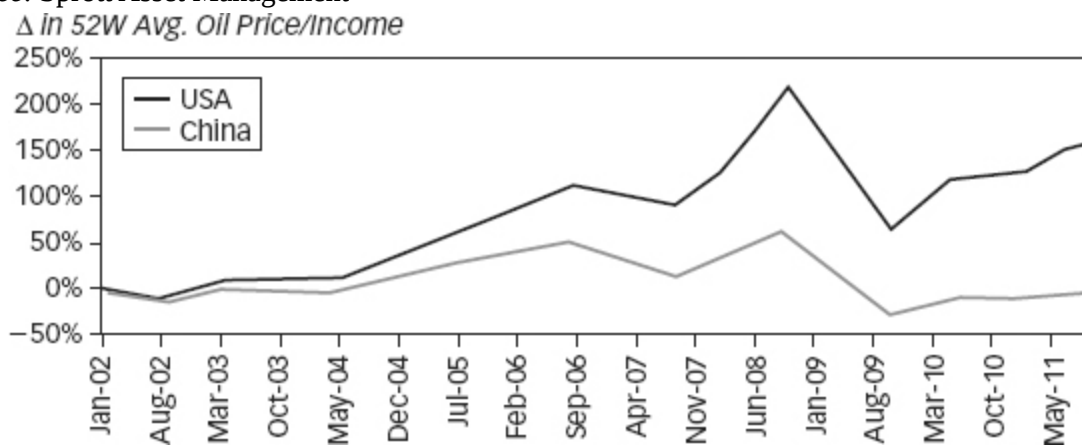


Of course, the other thing that is rising rapidly in the emerging world is personal income. This is a crucial point. In America, the typical working man reached his peak earnings per hour in 1974. You can argue that he gets more in social services today, such as free cheese and free pills. But that seems like small comfort to him when he drives up to the gas pump. Looking at [Figure 5.3](#), you'll see the adjusted wage cost of gasoline over the past 10 years has gone up. The Chinese buyer finds gasoline—as a percentage of his wages—has gone down because his earnings have increased so substantially. Chinese wages are up 281 percent over the last decade.

**Figure 5.3** Divided by Change in Disposable Income, China vs. United States

Source: Sprott Asset Management



Even with Chinese wages up so sharply, they are still far below U.S. levels. The average worker earns roughly one-tenth as much in China as in the United States. So there is plenty of room for more wage growth in China. That means there is also plenty of room for more purchases of gasoline. And although we can perfectly well imagine a major blowup in China, we can't imagine a major change in these underlying trends.

This is one of the “beta” trends we follow. People in the emerging world are bound to earn more money. They're bound to use more oil. The oil price is bound to go up in real terms.

Should you bet on higher oil prices? Maybe.

Our point here is that as people in the emerging markets earn more and produce more, they are bound to use more oil. To do so, they must compete